

Question #1 of 180

Question ID: 1417755

Which of the following statements about the CFA Institute's Professional Conduct Program (PCP) is *least accurate*?

A) Possible sanctions include condemnation by a member's peers or suspension of a candidate's participation in the CFA Program.

If the PCP staff determine that a sanction against a member is warranted, the

B) member must either accept the sanction or lose the right to use the CFA designation.

Members who cooperate with a PCP inquiry by providing confidential client

C) information to PCP staff are not in violation of Standard III(E) Preservation of Confidentiality.

Question #2 of 180

Question ID: 1417771

Robert Miguel, CFA, is a portfolio manager. On Saturday, one of his clients invited Miguel and his wife to be his guests at his luxury suite for a major league baseball playoff game, which they did. Miguel told his supervisor on Monday that they had attended the game with the client and that the suite was luxurious. Miguel has:

A) not violated the Standards.

B) violated the Standards because disclosure must be in writing.

C) violated the Standards because he must disclose the gift prior to accepting.

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Question ID: 1417772

At his golf club on Saturday morning, Paul Corwin, CFA, sees Frank Roberts, a friend and institutional client of his, who tells him that he is planning to sell his house on the 7th fairway. While golfing that day, Corwin tells Robert Lowe, a realtor, that Roberts is planning to sell his house and may need a realtor. He also tells Lowe that he manages an equities account for Roberts. If Corwin has not received permission from Roberts, he has violated the Standard on preservation of confidentiality:

- A)** both by disclosing Roberts' plan to sell his home and that he is a client.
 - B)** by disclosing Roberts' plan to sell his home but not by mentioning that he was a client.
 - C)** by disclosing that Roberts is a client of his but not by mentioning Roberts' plan to sell his home.
-

Question #4 of 180

Question ID: 1417773

Doug Watson, CFA, serves in a sales position at Sommerset Brokerage, a registered investment adviser. Watson frequently drinks excessively. On one occasion, Watson was cited by local police for misdemeanor public intoxication. According to the Standard on knowledge of the law and the Standard on misconduct, Watson is in violation of:

- A)** both of these Standards.
 - B)** neither of these Standards.
 - C)** only one of these Standards.
-

Question #5 of 180

Question ID: 1417774

Peter Taylor, a CFA charterholder and a food industry analyst for a large investment firm, has been invited by Sweet Pineapple Co. to visit the firm's processing plants in Hawaii. The Standard concerning independence and objectivity recommends that Taylor:

- A)** use and pay for commercial transportation, if available.
 - B)** obtain written permission from his employer before he accepts this invitation.
 - C)** decline this invitation if he issues recommendations on the firm's securities.
-

Question #6 of 180

Question ID: 1417775

Ruth Brett, a Level I CFA candidate, feels nervous and unprepared the night before the exam. Brett writes a few key notes on the bottom of her shoe. At the exam, Brett sees the large number of proctors present and decides not to risk getting caught and does not look at her shoe. According to the CFA Institute Code of Ethics and Standards of Professional Conduct, Brett is:

- A) not in violation of any Standard or the Code of Ethics because she did not use the notes.
 - B) in violation of the Code of Ethics for bringing the notes into the examination room but is not in violation of any Standard because she did not use the notes.
 - C) in violation of both the Code of Ethics and the Standard governing conduct as participants in CFA Institute programs for taking the notes into the examination room.
-

Question #7 of 180

Question ID: 1417776

Which of the following is *least likely* included in the CFA Institute Code of Ethics? Members of CFA Institute must:

- A) place their clients' interests before their employer's interests.
 - B) strive to maintain and improve the competence of others in the profession.
 - C) use reasonable care and exercise independent professional judgment.
-

Question #8 of 180

Question ID: 1417777

In formulating her report on GammaCorp's common stock, Barb Kramer, CFA, did a complex series of statistical tests on the company's past sales and earnings. Based on this statistical study, Kramer stated in her report that, "GammaCorp's earnings growth for the next five years will average 15% per year." Her conclusion was based in part on a regression analysis with a high level of statistical significance. Has Kramer violated the Standard on communication with clients and prospective clients?

- A) Yes, because she didn't give complete details of the statistical model used.
- B) Yes, because she failed to indicate that 15% growth is an estimate.

- C)** No, because her projections are within the generally accepted bounds of statistical accuracy.
-

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Question ID: 1417778

Dudley Thompson is a bond salesman for a small broker/dealer in London. His firm is the lead underwriter on a new junk bond issue for Ibex Corporation, and Thompson has sent details of the offering to clients. Thompson calls only his accounts over £1,000,000 for whom he thinks the issue is suitable. Thompson also posts his firm's optimistic projections for Ibex's performance in several Internet chat rooms. According to the Standards concerning market manipulation and fair dealing, Thompson is in violation of:

- A)** both of these Standards.
 - B)** neither of these Standards.
 - C)** only one of these Standards.
-

Question #10 of 180

Question ID: 1417779

Rob Elliott, CFA, is an analyst with a large asset management firm. His personal portfolio includes a large amount of common stock of Tech Inc., a semiconductor company, which his firm does not currently follow. The director of the research department has asked Elliott to analyze Tech and write a report about its investment potential. Based on the CFA Institute Standards of Professional Conduct, the *most appropriate* course of action for Elliot is to:

- A)** decline to write the report.
 - B)** sell his shares of Tech before completing the report.
 - C)** disclose the ownership of the stock to his employer and in the report, if he writes it.
-

Question #11 of 180

Question ID: 1417780

Angie Franklin, CFA, who covers technology stocks, joins a conference call for analysts presented by Cynthia Lucas, chief technology officer for LevelTech. Lucas tells the analysts that overseas shipments of the company's important new product are going to be delayed due to manufacturing defects, which is new information to the analysts. After the meeting Franklin changes her rating on LevelTech from "buy" to "hold" and sends a note to accounts recommending the sale of LevelTech. Franklin:

- A) did not violate the Standards.
 - B) violated the Standard on nonpublic information by revising her rating on LevelTech.
 - C) violated the Standard on fair dealing by rating the stock a "hold" but recommending sale of the shares to her accounts.
-

Question #12 of 180

Question ID: 1417781

According to the recommended procedures for complying with the Standard on suitability, which of the following statements regarding an investment policy statement (IPS) is *least accurate*?

- A) An IPS should describe the roles and responsibilities of both the adviser and the client.
 - B) A member or candidate is not responsible for financial information withheld by the client.
 - C) A client's IPS must be updated at least quarterly to reflect any changes in their investment profile.
-

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Question ID: 1417782

Sue Johnson, CFA, has an elderly client with a very large asset base. The client intends to start divesting her fortune to various charities. Johnson is on the Board of a local charitable foundation. Johnson *most* appropriately:

- A) must not discuss anything regarding her client and her client's intentions with the charitable foundation without permission.
- B) can discuss her client's situation with the charitable foundation as long as she informs other local charities of her client's intentions.

- C) can make this known to the charitable foundation so that they can solicit the client, since it is the client's wish to divest assets to charities in the future.
-

Question #14 of 180

Question ID: 1417783

According to the Standard related to loyalty, prudence, and care, which of the following statements regarding the voting of proxies on client holdings is *least accurate*?

- A) Proxies have economic value to a client.
 - B) An investment management firm should vote all proxies on client holdings unless the client reserves that right.
 - C) Members and candidates should explicitly disclose the firm's proxy voting policies to clients.
-

Question #15 of 180

Question ID: 1417784

Alvin Gold, CFA, resides in Country T and does business as an investment advisor primarily in Country U. Country T allows trading on non-public information and does not require disclosure of referral fees. Country U prohibits trading on non-public information only if it is gained by illegal means and requires disclosure of referral fees of over \$100 (U.S. equivalent). Gold accepts a referral fee of \$75, and in the course of a meeting with two other analysts and the firm's CFO, Gold receives material non-public information. To comply with the Code and Standards, Gold:

- A) need not disclose the referral fee but cannot trade on the non-public information.
 - B) must disclose the referral fee and cannot trade on the non-public information.
 - C) must disclose the referral fee but may trade on the non-public information.
-

Question #16 of 180

Question ID: 1417767

Which of the following statements made in a marketing brochure is a violation of the Standards?

- A) "Roger Langley, Chartered Financial Analyst, has been a portfolio manager for ten years and passed all three levels of the CFA examinations on his first attempts."
- B) "Jennifer York has passed the Level II exam and will earn the right to use the CFA designation after completing the Level III exam this June."
- C) "Paul Yeng, CFA, has retired from the firm after 25 years of service. Much of the firm's past success can be attributed to Yeng's efforts as an analyst and portfolio manager."
-

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Question ID: 1417768

Hedge Funds Unlimited, a global hedge fund, has publicly acknowledged in writing that it has adopted the CFA Institute Code and Standards as its policies. Which of the following is *least likely* a violation of the firm's policies?

- A) An analyst at the firm working overseas uses material nonpublic information as allowed by local law to make investment decisions for discretionary client accounts.
- B) A junior analyst at the firm uses a subscription to his local newspaper and the opinions of his friends and colleagues to make investment recommendations for discretionary client accounts.
- C) A CFA candidate at the firm, who is registered for the Level III exam, includes reference to participation in the CFA program and her status as a Level III candidate in her biographical background.
-

Question #18 of 180

Question ID: 1417764

According to the Code and Standards, members and candidates who are involved in distributing an initial public offering (IPO) of equity shares and wish to participate in the IPO:

- A) may participate unless the IPO is oversubscribed.
- B) may not participate because this creates a conflict of interest.
- C) must obtain pre-clearance from a supervisor before participating.
-

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Question ID: 1417760

Linda Bryant, CFA, is an employee of Roomkin Investment House, which underwrites equity and debt offerings. She has been approached by SimthCo to consult on a private debt placement. According to CFA Institute Standards of Professional Conduct, before Bryant agrees to accept this job, she is required to:

- A)** obtain written consent from Roomkin after submitting details of the arrangement.
 - B)** talk to her immediate supervisor and get her approval to take this consulting job.
 - C)** inform SimthCo in writing that she will accept the job and provide details of the arrangement to Roomkin in writing.
-

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Question ID: 1417762

To comply with the Code and Standards, analysts who send research recommendations to clients must:

- A)** keep records of all the data and analysis that went into creating the report.
 - B)** send recommendations only to those clients for whom the investments are suitable.
 - C)** not send recommendations without including the underlying analysis and basic investment characteristics.
-

Question #21 of 180

Question ID: 1417761

Amy Brooks, a Level III CFA candidate, has been given supervisory responsibilities. In carrying out her responsibilities, Brooks has discovered that the firm's compliance system is inadequate. She informed her supervisor, who is not supportive of Brooks's efforts to correct the situation. According to CFA Institute Standards of Professional Conduct, Brooks:

- A)** has satisfied her obligation under the Code and Standards by informing her manager of the situation.
- B)** must dissociate herself from the firm if the firm is not in compliance with the CFA Institute Standards.

- C)** should decline in writing to accept supervisory responsibilities until an adequate compliance system is adopted.
-

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Question ID: 1417769

Excluding the results of terminated accounts when calculating historical performance is recommended by:

- A)** both GIPS and the Standard concerning performance presentation.
 - B)** GIPS, but not by the Standard concerning performance presentation.
 - C)** neither GIPS nor the Standard concerning performance presentation.
-

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Question ID: 1417763

Ken Toma, CFA, has just completed an extensive analysis and concluded that the demand for vacation rentals in Hawaii will far exceed the supply for the foreseeable future. Toma writes a research report stating, "Based on the fact that the demand for Hawaiian beach vacations will exceed the supply of rooms for the foreseeable future, I recommend the purchase of shares of The Hawaiian REIT, a diversified portfolio of Hawaiian beachfront resorts." If Toma presents this report to his clients, he will *most likely* violate the CFA Institute Standards by:

- A)** not distinguishing between fact and opinion.
 - B)** not considering the suitability of the investment for his clients.
 - C)** failing to have a reasonable and adequate basis for his recommendation.
-

Question #24 of 180

Question ID: 1417757

Derek Stevens, CFA, manages the pension plan assets of Colors, Inc. When voting proxies for plan equities, Stevens owes a fiduciary duty to:

- A)** the plan trustees who hired him.
- B)** the plan participants and beneficiaries.

C) the managers, stockholders, and bondholders of Colors, Inc., equally.

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Question ID: 1417758

An analyst at Romer changes her rating on TelSky from "buy" to "hold" and sends an email explaining the change to all clients and firm brokers. Subsequently, Paul Stevens, CFA, a broker at Romer, receives a call from a client who wants to buy 15,000 shares of TelSky. Stevens must:

- A) advise his client of the change in recommendation before accepting the order.
 - B) not accept the order until the customer has had time to receive and read the new report.
 - C) accept the order without mentioning the ratings change because the order is unsolicited.
-

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Question ID: 1417770

Which of the following is one of the eight major sections of the GIPS standards for firms?

- A) Independent Third-Party Verification.
 - B) Input Data and Calculation Methodology.
 - C) Guidelines for Attributing Performance to Sub-Advisers.
-

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Question ID: 1417759

Edie Pschorr, CFA, notices that a bond is priced at 98.0 in one market and 98.4 in another market. Pschorr places an order to buy a large number of these bonds in the first market and simultaneously places an order to sell the same number of bonds in the second market. The bond's price increases to 98.2 in the first market and decreases to 98.2 in the second market. Are Pschorr's trades a violation of the Code and Standards?

- A)** No.
 - B)** Yes, because they violate the Standard concerning fair dealing.
 - C)** Yes, because they violate the Standard concerning market manipulation.
-

Question #28 of 180

Question ID: 1417765

Greg Hoffman, CFA, has been offered a cash payment by Hill Manufacturing, Inc. to write a research report on their company. According to the Code and Standards, Hoffman:

- A)** must disclose the nature of the compensation from Hill in his research report.
 - B)** may not accept compensation from Hill to produce research on the company.
 - C)** may produce the research report but may not make a recommendation on Hill's securities.
-

Question #29 of 180

Question ID: 1417766

Shan Ang, CFA, is a portfolio manager at Huang Investments. Lian Jan, an old friend of Ang's, is an executive recruiter in the same city. Jan proposes that she will refer any high-level executives that she places locally to Ang, in exchange for one round of golf at Ang's country club for each new client. According to the Standard concerning referral fees, Ang would be required to disclose this referral arrangement:

- A)** only to all prospective clients referred by Jan.
 - B)** to his employer and all prospective clients referred by Jan.
 - C)** to all prospective clients, current clients, and his employer.
-

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Question ID: 1417756

Yvette Michaels, CFA, an analyst for Torborg Investments, inadvertently overhears a conversation between two executives of Collective Healthcare in which they mention an upcoming tender offer for Network, a stock she covers. Michaels has followed both companies extensively and feels their consolidation would be very beneficial for both companies. She tells her supervisor, a senior analyst, about the proposed tender offer. Michaels' actions are:

- A)** in violation of the Standards.
 - B)** not in violation of the Standards because she told only her supervisor.
 - C)** not in violation of the Standards because she has not traded shares of Network or changed her report on the company.
-

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Question ID: 1417648

Kimberwick Technologies reported the following information for the year ending December 31.

Data	
Net sales	50,000
Cash expenses	3,250
Cash inputs	17,000
Cash taxes	7,000
Increase in receivables	500
Depreciation expense	1,000
Cash flow from investing	-5,000
Cash flow from financing	-4,250

If the cash balance increased \$13,000 over the year, cash flow from operations (CFO) is *closest* to:

- A)** \$21,250.
 - B)** \$21,750.
 - C)** \$22,250.
-

Question #32 of 180

Question ID: 1417628

A business cycle theory developed by applying utility theory and budget constraints to macroeconomic models is *most closely* associated with which school of economic thought?

- A) Austrian.
 - B) New Classical.
 - C) New Keynesian.
-

Question #33 of 180

Question ID: 1417607

An investor places \$5,000 in an account. The stated annual interest rate is 6% compounded monthly. The value of the account at the end of three years is *closest* to:

- A) \$5,970.
 - B) \$5,978.
 - C) \$5,983.
-

Question #34 of 180

Question ID: 1417642

Which of the following statements about a United States public corporation's annual reports, SEC filings, and press releases is *most accurate*?

- A) Annual and quarterly SEC filings must be audited.
 - B) Interim SEC filings typically update the major financial statements and footnotes.
 - C) Annual reports to shareholders are typically the most factual and objective source of information about a company.
-

Question #35 of 180

Question ID: 1417663

Which of the following is *most likely* a motivation for a company's management to issue low-quality financial reports?

- A) Management has provided optimistic earnings guidance.
 - B) Oversight provided by the board of directors is weak or inadequate.
 - C) Accounting principles permit a wide range of acceptable treatments and estimates.
-

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Question ID: 1417608

The initial market value of a portfolio was \$100,000. One year later the portfolio was valued at \$90,000 and two years later at \$99,000. The geometric mean annual return excluding any dividend income is *closest* to:

- A) -0.5%.
 - B) -0.4%.
 - C) 0.0%.
-

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Question ID: 1417641

Consider the following foreign exchange and interest rate information:

- Spot rate: 1.3382 USD/EUR.
- One year riskless USD rate = 2.5%.
- One year riskless EUR rate = 3.5%.

The one-year arbitrage-free forward exchange rate is *closest* to:

- A) 1.2391 USD/EUR.
 - B) 1.3253 USD/EUR.
 - C) 1.3513 USD/EUR.
-

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Question ID: 1417639

Other things equal, a country is *most likely* to have a current account deficit if it also has:

- A) a low savings rate.
 - B) a government budget surplus.
 - C) a low rate of domestic investment.
-

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Question ID: 1417655

Haltata Turf & Sod currently uses the first in, first out (FIFO) method to account for inventory. Due to significant tax-loss carryforwards, the company has an effective tax rate of zero. Prices are rising and inventory quantities are stable. If the company were to use last in, first out (LIFO) instead of FIFO:

- A) net income would be lower and cash flow would be higher.
 - B) cash flow would remain the same and working capital would be lower.
 - C) gross margin would be higher and stockholder's equity would be lower.
-

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Question ID: 1417665

Which of the following effects is *most likely* to occur when using ratio screens for high dividend yield stocks and low P/E stocks, respectively?

<u>High dividend yield</u>	<u>Low P/E ratios</u>
A) Include too many financial services firms	Exclude too many growth firms
B) Exclude too many financial services firms	Include too many growth firms
C) Include too many financial services firms	Include too many growth firms

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Question ID: 1417645

The five steps required for a company to record revenue on a long-term contract are *least likely* to include:

- A) identifying a customer contract.
- B) receiving proportional payments.
- C) identifying separate performance obligations in the contract.

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Question ID: 1417611

The probability that an acquisition has been executed well is 48%. If it is executed well, the probability of EPS greater than \$3.20 is 55%. If the acquisition has not been executed well, the probability of EPS less than or equal to \$3.20 is 65%. The unconditional probability of EPS greater than \$3.20 is *closest to*:

- A) 45%.
- B) 48%.
- C) 55%

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Question ID: 1417622

A simple linear regression model produces the following outputs:

Total sum of squares	9,575.81
Mean regression sum of squares	7,115.74
Mean squared error	1,663.46

The F-statistic for this regression is *closest to*:

- A) 1.3.
- B) 4.3.
- C) 5.8.

Question #44 of 180

Question ID: 1417625

Which of the following statements about monopolists is *most accurate*?

- A) Monopolists have imperfect information about the demand curve for their product.
 - B) Without government intervention, monopolists will always earn economic profits.
 - C) A monopolist maximizes total revenue where marginal revenue equals marginal cost.
-

Question #45 of 180

Question ID: 1383866

A company's investments in marketable securities include a 3-year tax-exempt bond measured at amortized cost and a 5-year government note measured at fair value through other comprehensive income. On its income statement, the company should report the coupon interest received from:

- A) both of these securities.
 - B) neither of these securities.
 - C) only one of these securities.
-

Question #46 of 180

Question ID: 1417635

A central bank's ability to achieve its policy goals is *most likely* to be limited by available resources when which of the following actual rates is above its target rate?

- A) Interest rate.
 - B) Inflation rate.
 - C) Exchange rate.
-

Question #47 of 180

Question ID: 1417647

Acme Corp. purchased a new stamping machine for \$100,000, paid \$10,000 for shipping, and paid \$5,000 to have it installed in their plant. Based on an estimated salvage value of \$25,000 and an economic life of six years, the difference between straight-line depreciation and double-declining balance depreciation in the second year of the asset's life is *closest* to:

- A) \$7,220.
- B) \$10,556.
- C) \$16,666.

Question #48 of 180

Question ID: 1417612

An analyst develops the following probability distribution for the states of the economy and market returns.

Unconditional Probability P(A)		Conditional Probability P(B A)	
Good economy	60%	Bull market	50%
		Normal market	30%
		Bear market	20%
Poor economy	40%	Bull market	20%
		Normal market	30%
		Bear market	50%

Which of the following statements about this probability distribution is *least accurate*?

- A) The unconditional probability of a normal market is 0.30.
- B) The joint probability of having a good economy and a bear market is 0.20.
- C) Given that the economy is poor, the probability of a normal or a bull market is 0.50.

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Question ID: 1417626

What are the *most likely* effects on aggregate demand in the current period of an increase in expected future incomes and of an increase in the money supply?

- A) Both increase aggregate demand.

- B) Both decrease aggregate demand.
 - C) One increases aggregate demand and one decreases aggregate demand.
-

Question #50 of 180

Question ID: 1417652

From the point of view of a financial analyst, when evaluating companies that use different inventory cost assumptions, in a period of:

- A) stable prices, LIFO inventory is preferred to FIFO inventory.
 - B) decreasing prices, FIFO inventory is preferred to LIFO inventory.
 - C) increasing prices, FIFO cost of sales is preferred to LIFO cost of sales.
-

Question #51 of 180

Question ID: 1417613

An analyst estimates a stock has a 40% probability of earning a 10% return, a 40% probability of earning a 12.5% return, and a 20% probability of earning a 30% return. The stock's standard deviation of returns based on this returns model is *closest* to:

- A) 3.74%.
 - B) 5.75%.
 - C) 7.58%.
-

Question #52 of 180

Question ID: 1417615

Shortfall risk is *best* described as the probability:

- A) of a credit rating downgrade due to possible earnings shortfalls.
 - B) of failing to make a contractually promised payment.
 - C) that portfolio value will fall below some minimum level at a future date.
-

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Question ID: 1417658

Longboat, Inc., sold a luxury passenger boat from its inventory on December 31 for \$2,000,000. It is estimated that Longboat will incur \$100,000 in warranty expenses during its 5-year warranty period. Longboat's tax rate is 30%. To account for the tax implications of the warranty obligation prior to incurring warranty expenses, Longboat should:

- A) record a deferred tax asset of \$30,000.
 - B) record a deferred tax liability of \$30,000.
 - C) make no entry until actual warranty expenses are incurred.
-

Question #54 of 180

Question ID: 1417632

Incorrect production decisions are *most likely* to occur when the inflation rate is:

- A) lower than expected only.
 - B) higher than expected only.
 - C) either higher or lower than expected.
-

Question #55 of 180

Question ID: 1417624

Which of the following statements about elasticity is *least accurate*?

- A) Both demand and supply are more elastic in the long run than in the short run.
 - B) When demand is inelastic, an increase in price will cause a decrease in the total expenditure on a good.
 - C) When the price of a product increases, consumers will reduce their consumption by a larger amount in the long run than in the short run.
-

Question #56 of 180

Question ID: 1417650

The presentation format of balance sheet data that standardizes the first-year values to 1.0 and presents subsequent years' amounts relative to 1.0 is:

- A) an indexed balance sheet.
 - B) a vertical common-size balance sheet.
 - C) a horizontal common-size balance sheet.
-

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Question ID: 1417659

For 20X1, Belcher Motors reported a decrease in its deferred tax liabilities, a decrease in its deferred tax assets, and an increase in its valuation allowance. To an analyst, this would *most likely* suggest that the company has:

- A) decreased its estimate of future profitability.
 - B) increased the estimated useful life of some capitalized assets.
 - C) increased its estimate of the period over which unearned revenue will be recognized.
-

Question #58 of 180

Question ID: 1417619

Which of the following statements about hypothesis testing is *most accurate*?

- A) Rejecting a true null hypothesis is a Type I error.
 - B) The power of a test is the probability of failing to reject the null hypothesis when it is false.
 - C) For a one-tailed test regarding the value of parameter X , the null hypothesis would be $H_0: X = 0$, and the alternative hypothesis would be $H_A: X \neq 0$.
-

Question #59 of 180

Question ID: 1417633

Which of the following statements regarding the money supply and determination of short-term interest rates is *least accurate*?

- A) On balance, growth in real GDP tends to increase the transactional demand for money.
 - B) If the short-term interest rate is greater than the equilibrium rate, there will be excess supply of real money balances.
 - C) An increase in the real money supply from an initial equilibrium situation will cause households and businesses to sell interest- bearing securities.
-

Question #60 of 180

Question ID: 1417618

The bootstrap method of estimating the standard error of sample means involves drawing repeated samples from a data set, each with:

- A) outliers removed.
 - B) the same sample size.
 - C) one observation removed.
-

Question #61 of 180

Question ID: 1417646

Peri, Inc. has entered into a long-term contract to build a warehouse that includes a bonus payment of 10% of the contract value, to be paid if the building is completed by a specific date. In determining the revenue to recognize, the firm should calculate the proportion of the performance obligations fulfilled to date, and multiply that by the contract value:

- A) not including the bonus.
 - B) including the bonus if it is probable they will receive it.
 - C) including the bonus only if they are certain they will receive it.
-

Question #62 of 180

Question ID: 1417649

An analyst gathered the following data about a company:

- Collections from customers are \$5,000.
- Depreciation is \$800.
- Cash expenses (including taxes) are \$2,000.
- Tax rate = 30%.
- Net cash increased by \$1,000.

If inventory increases over the period by \$800, cash flow from operations equals:

- A)** \$1,600.
 - B)** \$2,400.
 - C)** \$3,000.
-

Question #63 of 180

Question ID: 1417654

Greene Company discloses that its net income for the most recent period was reduced by a writedown of inventory to net realizable value. What effect is the inventory writedown *most likely* to have on Greene's net income in future periods?

- A)** Increase.
 - B)** Decrease.
 - C)** No effect.
-

Question #64 of 180

Question ID: 1417637

Automatic stabilizers are government programs that require no legislation and tend to:

- A)** automatically increase spending at the same growth rate as real GDP.
 - B)** reduce interest rates, thus stimulating aggregate demand.
 - C)** change the government budget deficit in an opposite direction to economic growth.
-

Question #65 of 180

Question ID: 1417610

The odds for an event occurring are calculated by dividing:

- A) one by the probability that the event occurs.
 - B) the probability that the event does not occur by the probability that an event occurs.
 - C) the probability that the event occurs by the probability that the event does not occur.
-

Question #66 of 180

Question ID: 1417609

Which of the following statements about return distributions is *most accurate*?

- A) With positive skewness, the median is greater than the mean.
 - B) If skewness is positive, the average magnitude of positive deviations from the mean is smaller than the average magnitude of negative deviations from the mean.
 - C) If a return distribution has positive excess kurtosis and the analyst uses statistical models that do not account for the fatter tails, the analyst will underestimate the likelihood of extreme outcomes.
-

Question #67 of 180

Question ID: 1417660

Compared to reporting in a country where life insurance payments on key employees are deductible for tax, a company that makes such payments and reports in a country in which they are not tax deductible would report:

- A) a lower statutory tax rate.
 - B) a higher effective tax rate.
 - C) a greater deferred tax asset.
-

Question #68 of 180

Question ID: 1417627

An economy is in full-employment equilibrium. If the government unexpectedly decreases the tax rate, the economy is *most likely* to experience:

- A) an increase in employment in the short run.
 - B) a decrease in the price level in the short run.
 - C) no change in employment in the short run.
-

Question #69 of 180

Question ID: 1417651

Which of the following is *most likely* presented on a common-size balance sheet or common-size income statement?

- A) Total asset turnover.
 - B) Operating profit margin.
 - C) Return on common equity.
-

Question #70 of 180

Question ID: 1417621

Ethyl Redd supervises an equity research team. Redd compiles the following contingency table of recommendations from her fundamental and technical analysts:

		Fundamental Analysts		
		Buy	Hold	Sell
Technical Analysts	Buy	28	12	4
	Hold	11	19	7
	Sell	6	11	14

Using the data from this contingency table, Redd can *most likely* test the hypothesis that her fundamental and technical analysts' recommendations are:

- A) independent.
 - B) uncorrelated.
 - C) dispersed equally.
-

Question #71 of 180

Question ID: 1417631

Pat Bannerman is analyzing economic indicators to form an opinion on whether an economic contraction has ended. Which of the following turning points should Bannerman *most appropriately* interpret as a coincident indicator suggesting economic growth is entering the early stage of a new expansion?

- A) Real personal income has begun increasing.
 - B) The unemployment rate has begun decreasing.
 - C) Building permits for new houses have begun increasing.
-

Question #72 of 180

Question ID: 1417640

Three years ago, the U.S. dollar/euro exchange rate was 1.32 USD/ EUR. Over the last three years, the price level in the United States has increased by 18%, and the price level in the eurozone has increased by 12%. If the current exchange rate is 1.40 USD/EUR, the real exchange rate over the period has:

- A) increased, and eurozone goods are now more expensive to U.S. consumers.
 - B) decreased, and eurozone goods are now more expensive to U.S. consumers.
 - C) increased, and U.S. goods are now more expensive to eurozone consumers.
-

Question #73 of 180

Question ID: 1417643

Which of the following items is *least likely* to contain details about various accruals, adjustments, balances, and management assumptions?

- A) Income statement.
 - B) Supplementary schedules.
 - C) Discussion and analysis by management.
-

Question #74 of 180

Question ID: 1417656

As a result of a recent acquisition, Lombard, Inc., has placed the following items on their balance sheet as of the beginning of their fiscal year:

Goodwill \$30 million

Patent \$10 million Expires in 10 years.

Trademark \$15 million Expires in 15 years, renewable at minimal cost.

If Lombard amortizes intangible assets using the straight line method, the amortization expense on these assets for the fiscal year will be:

- A) \$1 million.
 - B) \$2 million.
 - C) \$3 million.
-

Question #75 of 180

Question ID: 1417616

An investment with an initial cost of \$30,000 is sold for \$60,000 after two years. The annual return on a continuously compounded basis is *closest to*:

- A) 35%.
 - B) 38%.
 - C) 40%.
-

Question #76 of 180

Question ID: 1417644

According to the IASB Conceptual Framework for Financial Reporting, what are the two fundamental qualitative characteristics of financial statements?

- A) Timeliness and comparability.
 - B) Verifiability and understandability.
 - C) Relevance and faithful representation.
-

Question #77 of 180

Question ID: 1417653

A firm uses the first-in first-out (FIFO) cost flow assumption. Compared to gross profit with a periodic inventory system, the firm's gross profit with a perpetual inventory system would be:

- A)** lower.
 - B)** higher.
 - C)** the same.
-

Question #78 of 180

Question ID: 1417634

The Fisher effect describes the relationship among:

- A)** savings, investment, the fiscal balance, and the trade balance.
 - B)** credit expansion, investor expectations, and the business cycle.
 - C)** nominal interest rates, real interest rates, and expected inflation.
-

Question #79 of 180

Question ID: 1417661

A permanent difference between pretax and taxable income is *least likely* to arise when a firm:

- A)** receives tax-exempt interest.
 - B)** uses the installment sales method for financial reporting.
 - C)** pays premiums on life insurance of key employees.
-

Question #80 of 180

Question ID: 1417657

Clement Company has revalued an intangible asset with an indefinite life upward by €25 million. In its financial statements, Clement will *most likely*:

- A)** disclose how it determined the fair value of the intangible asset.

- report lower net income in subsequent periods because of increased amortization expense on the asset.
- report higher assets, net income, and shareholders' equity in the most recent period than it would have reported under the cost model.
-

Question #81 of 180

Question ID: 1417614

An investment manager wants to select three analysts from a group of six analysts to receive first-, second-, and third-place awards for outstanding performance. In how many ways can the investment manager make the three awards?

- A) 20 ways.
- B) 54 ways.
- C) 120 ways.
-

Question #82 of 180

Question ID: 1417623

Partial table of Student's t-distribution:

Level of Significance for a Two-Tailed Test						
df	0.20	0.10	0.05	0.02	0.01	0.001
23	1.319	1.714	2.069	2.500	2.807	3.768
24	1.318	1.711	2.064	2.492	2.797	3.745
25	1.316	1.708	2.060	2.485	2.787	3.725

From a sample of 25 paired observations, an analyst generates the simple linear regression line $\widehat{Y}_i = -25 + 49X_i$. The standard error of the forecast is 16. For an observed value of X equal to 5, a 95% confidence interval for the predicted value of Y is *closest* to:

- A) 16 to 82.
- B) 187 to 253.
- C) 218 to 272.
-

Question #83 of 180

Question ID: 1417617

A researcher has data on the 20 largest firms in each state and samples the data by choosing 20 states at random and then selecting 10 firms at random from each of the samples. Her sampling method is referred to as:

- A) cluster sampling.
 - B) convenience sampling.
 - C) stratified random sampling.
-

Question #84 of 180

Question ID: 1417664

In a period of rising prices, management of a company that reports under IFRS is *least likely* to attempt to influence analysts' opinions of its financial results by:

- A) liquidating inventory.
 - B) increasing the useful lives of assets.
 - C) emphasizing earnings that exclude nonrecurring costs.
-

Question #85 of 180

Question ID: 1417629

An unexpected increase in businesses' inventory-to-sales ratios is *most likely* to occur as an economy:

- A) reaches a trough.
 - B) enters a contraction phase.
 - C) approaches the peak of an expansion.
-

Question #86 of 180

Question ID: 1417630

Relative to economic cycles, credit cycles:

- A) coincide with economic cycles.

- B) tend to dampen economic cycles.
 - C) have historically been longer than economic cycles.
-

Question #87 of 180

Question ID: 1417636

A change from a neutral monetary policy to a contractionary monetary policy is *most likely* to be reflected in the economy by:

- A) decreases in price for financial assets.
 - B) decreased lending rates in the banking system.
 - C) depreciation of the domestic currency in the foreign exchange market.
-

Question #88 of 180

Question ID: 1417620

Which is the correct test statistic for a test of the null hypothesis that a population variance is equal to a chosen value?

- A) *F*-statistic.
 - B) *t*-statistic.
 - C) Chi-square statistic.
-

Question #89 of 180

Question ID: 1417662

Yamaska Mining issued a 5-year, \$50 million face, 6% semiannual bond when market interest rates were 7%. The market yield of the bonds was 8% at the beginning of the next year. Using the effective interest rate method, what is the initial balance sheet liability, and what is the interest expense that the company should report for the first half of the second year of the bond's life (the third semiannual period)?

Initial liability.

Interest expense, first half of year 2

- A) \$47,920,849 \$1,689,853

- B) \$47,920,849 \$1,750,000
 - C) \$50,000,000 \$1,500,000
-

Question #90 of 180

Question ID: 1417638

Which of the following conditions is *most likely* to result in expansionary effects from fiscal policy being felt when an economic expansion is already underway?

- A) Slow economic growth is being caused by supply shortages rather than low aggregate demand.
 - B) Expansionary fiscal policy requires policymakers to recognize an economic contraction and enact legislation.
 - C) Government borrowing to finance expansionary spending is increasing interest rates faced by private sector borrowers.
-

Question #91 of 180

Question ID: 1417754

A financial firm employs machine learning to model its risk exposures. The machine identifies a number of risk relationships in the input data, but the firm's management believes some of these relationships are spurious. If so, it is *most likely* that the model:

- A) exhibits overfitting.
 - B) treats true parameters as noise.
 - C) is not complex enough to describe the data.
-

Question #92 of 180

Question ID: 1417744

On average, which of the following types of investors has the shortest investment horizon?

- A) Endowment fund.

- B)** Defined benefit plan.
 - C)** Property and casualty insurer.
-

Question #93 of 180

Question ID: 1417679

Under Modigliani and Miller's assumptions and with no taxes, the value of a firm is:

- A)** unaffected by its capital structure.
 - B)** maximized with an all-debt capital structure.
 - C)** maximized with an all-equity capital structure.
-

Question #94 of 180

Question ID: 1417674

The type of short-term financing for which the financing cost is most closely tied to the creditworthiness of a firm's customers is:

- A)** factoring.
 - B)** issuing commercial paper.
 - C)** an uncommitted line of credit.
-

Question #95 of 180

Question ID: 1417682

Smith Company's earnings per share are more sensitive to changes in operating income than are those of Jones Company. This implies that Smith Company has a higher degree of:

- A)** total leverage.
 - B)** financial leverage.
 - C)** operating leverage.
-

Question #96 of 180

Question ID: 1417747

A portfolio is invested 30% in Asset A with the remainder invested in Asset B. Asset A has an expected return of 6% and variance of returns of 0.031, while Asset B has an expected return of 7% and variance of returns of 0.045. The covariance between the returns of the two assets is 0.03735. The standard deviation of returns for the portfolio is *closest* to:

- A) 18%.
 - B) 20%.
 - C) 22%.
-

Question #97 of 180

Question ID: 1417678

If flotation costs are treated correctly in calculating the net present value of a project that will begin in the current period, the flotation costs are *most likely*:

- A) included in the initial outlay.
 - B) reflected in the discount rate used for the project.
 - C) included in the cost of the capital raised.
-

Question #98 of 180

Question ID: 1417749

The risk-free rate is 5% and the expected market risk premium is 10%. A portfolio manager is projecting a return of 20% on a portfolio with a beta of 1.5. After adjusting for its systematic risk, this portfolio is expected to:

- A) equal the market's performance.
 - B) outperform the market.
 - C) underperform the market.
-

Question #99 of 180

Question ID: 1417752

A distinction between cognitive errors and emotional biases is that cognitive errors:

- A)** are more likely to be mitigated through education than emotional biases.
 - B)** are essentially processing errors, while emotional biases tend to involve belief perseverance.
 - C)** typically lead to errors of commission, while emotional biases typically lead to errors of omission.
-

Question #100 of 180

Question ID: 1417669

Which of the following investments is *least likely* to be evaluated using traditional capital allocation analysis? Investing:

- A)** \$100 million for the research and development of new paint products.
 - B)** \$200 million in equipment to reduce carbon output rather than pay daily fines.
 - C)** \$75 million to expand production and sales into a neighboring country.
-

Question #101 of 180

Question ID: 1417666

Reviewing the performance and independence of board members is a responsibility of:

- A)** the audit committee.
 - B)** the nominations committee.
 - C)** the compensation committee.
-

Question #102 of 180

Question ID: 1417753

A manager states that the objectives of a firm's risk management process should be to:

- Identify the firm's risk tolerance.
- Identify and measure risks faced by the organization.
- Minimize or eliminate these risks.

Which of these objectives is *least appropriate* in a risk management process?

- A)** Identifying risk tolerance.
 - B)** Identifying and measuring risks.
 - C)** Minimizing or eliminating risks.
-

Question #103 of 180

Question ID: 1417676

A company that wishes to reduce its operating cycle would *most* appropriately increase its:

- A)** receivables turnover.
 - B)** days of inventory on hand.
 - C)** number of days of payables.
-

Question #104 of 180

Question ID: 1417672

Which of the following project analysis decisions *most likely* represents a common capital allocation pitfall?

- A)** Comparing mutually exclusive projects based on their net present values.
 - B)** Incorporating competitors' likely responses to the launch of a new product.
 - C)** Including a standard allocation of administrative overhead in the initial cost.
-

Question #105 of 180

Question ID: 1379734

Open-end mutual funds differ from closed-end funds in that:

- A)** open-end funds stand ready to redeem their shares, while closed-end funds do not.
 - B)** closed-end funds require active management, while open-end funds do not.
 - C)** open-end funds issue shares that are then traded in secondary markets, while closed-end funds do not.
-

Question #106 of 180

Question ID: 1417668

In the context of corporate governance, which of the following would *most likely* be an example of full integration?

- A)** Including governance factors in estimating future cash flows.
 - B)** Having both internal and external stakeholders on the board of directors.
 - C)** Instituting a comprehensive framework for managing conflicts of interest among all of a company's stakeholders.
-

Question #107 of 180

Question ID: 1417670

Timely Taxis, Ltd. has signed a long-term lease for 20 underground parking spots at \$150 each per month for its fleet of taxis. The firm currently has 18 taxis in operation and is performing an NPV analysis on the purchase of a 19th taxi. The cost of parking for the 19th taxi is *best* described as:

- A)** a sunk cost.
 - B)** an opportunity cost.
 - C)** an incremental cost.
-

Question #108 of 180

Question ID: 1417680

The stakeholders of a firm who are *most likely* to favor funding expansion through debt issuance rather than equity issuance are:

- A) controlling shareholders.
 - B) suppliers of specialized products.
 - C) managers whose compensation is mostly cash.
-

Question #109 of 180

Question ID: 1417746

Which of the following types of institutions is *most likely* to have the lowest risk tolerance?

- A) Commercial bank.
 - B) College endowment.
 - C) Mutual fund company.
-

Question #110 of 180

Question ID: 1417745

Under which type of pension plan are retirement benefit payments an obligation of the sponsoring firm?

- A) Defined benefit plan only.
 - B) Defined contribution plan only.
 - C) Both a defined benefit plan and a defined contribution plan.
-

Question #111 of 180

Question ID: 1417671

Wreathfield, Inc., is choosing between two mutually exclusive projects. The cash flows for the two projects are below. The firm has a cost of capital of 12%, and the risk of the projects is equivalent to the average risk of the firm.

	0	1	2	3	4	5	6
Project J:	-12,000	4,000	5,000	6,000			
Project K:	-20,000	3,000	3,000	3,000	5,000	8,000	8,000

Wreathfield should accept:

- A) Project J.
- B) Project K.
- C) Neither project J nor project K.

Question #112 of 180

Question ID: 1417751

Marcia Kostner, CFA, is an advisor to individual investors. To determine each of her clients' risk tolerance objectively, Kostner uses a mathematical formula with inputs that include the client's age, family size, insurance coverage, liquidity, income, and net worth. What is the *most likely* shortcoming of Kostner's approach to assessing risk tolerance?

- A) Net worth is unrelated to an investor's risk tolerance.
- B) This approach does not consider the investor's attitude toward risk.
- C) Treating clients differently based on their ages violates the Code and Standards.

Question #113 of 180

Question ID: 1417675

If firms Acme and Butler have the same amount of sales and equal quick ratios, but Acme's receivables turnover is higher, it is *most likely* that:

- A) Butler has better liquidity than Acme.
- B) Butler has a lower cash ratio than Acme.
- C) Acme's average days of receivables is higher than Butler's.

Question #114 of 180

Question ID: 1417683

Fireball Company has fixed operating costs of \$120,000 and fixed financing costs of \$120,000. Fireball's variable costs are \$4 per unit of output. If Fireball sells 200,000 units for \$5 each, it will generate:

- A)** a net profit.
 - B)** an operating loss.
 - C)** an operating profit but a net loss.
-

Question #115 of 180

Question ID: 1417677

Appeal, Inc. has sold only one bond issue, \$10 million face value of 20-year debt that pays annual interest at a rate of 6%, at a YTM of 6.5%. Appeal's management is evaluating a project that would require the issuance of another \$10 million face value of debt. If the new bond has a 7.0% coupon and can be sold with a YTM of 7.5%, the pre-tax cost of debt that Appeal's management should use in evaluating the project is:

- A)** 6.5%.
 - B)** 7.0%.
 - C)** 7.5%.
-

Question #116 of 180

Question ID: 1417750

An analyst gathered the following data about three stocks:

Stock	Beta	Estimated Return
A	1.5	18.1%
B	1.1	15.7%
C	0.6	12.5%

If the risk-free rate is 8%, and the market risk premium is 7%, the analyst is *least likely* to recommend buying:

- A) Stock A.
 - B) Stock B.
 - C) Stock C.
-

Question #117 of 180

Question ID: 1417673

Jay Company is considering a new joint venture with Haiche Company. Each company would contribute \$5 million to the venture in each of the next four years, but at the end of Year 2, Jay has the right to turn the full venture over to Haiche. Jay should evaluate this right as:

- A) a timing option.
 - B) a flexibility option.
 - C) an abandonment option.
-

Question #118 of 180

Question ID: 1420473

A principal-agent conflict is *most likely* to occur between:

- A) managers and employees.
 - B) shareholders and senior managers.
 - C) suppliers and the board of directors.
-

Question #119 of 180

Question ID: 1417748

Which of the following equity securities is *most likely* to have a beta greater than one?

- A) Utility stock.
 - B) Health care stock.
 - C) Homebuilder stock.
-

Question #120 of 180

Question ID: 1417681

A firm that uses the public markets for all of its financing has the following securities outstanding:

	Book value	Market value
Equity securities	\$35 million	\$70 million
Debt securities	\$25 million	\$30 million

If an analyst assumes these data reflect the firm's target capital structure, he should estimate that its target weight of debt financing is *closest* to:

- A) 26%.
 - B) 30%.
 - C) 43%.
-

Question #121 of 180

Question ID: 1417708

A hedge fund manager is estimating a value for a non-traded bond of Yoder Company. The bond has an annual-pay 6% coupon, matures in six years, and has a CCC credit rating. Actively traded annual-pay bonds with similar credit ratings include the following:

Coupon	Maturity	Yield to maturity
8%	5 years	9.45%
5%	5 years	9.55%
7%	10 years	10.00%

Based on matrix pricing, the value of the Yoder bond as a percentage of par is *closest* to:

- A) 83.9.
 - B) 84.1.
 - C) 84.5.
-

Question #122 of 180

Question ID: 1417734

When the underlying asset does not pay any cash flows, the value of an American call option is:

- A)** equal to the value of an otherwise identical European call option.
 - B)** less than the value of an otherwise identical European call option.
 - C)** greater than the value of an otherwise identical European call option.
-

Question #123 of 180

Question ID: 1417726

If the availability of a physical commodity over the period of a futures contract has value to users of the commodity, the commodity is said to provide:

- A)** storage yield.
 - B)** economic yield.
 - C)** convenience yield.
-

Question #124 of 180

Question ID: 1417698

An analyst determines that a company has a return on equity of 16% and pays 40% of its earnings in dividends. If the firm recently paid a \$1.50 dividend and the stock is selling for \$40, what is the required rate of return on the stock if it is priced according to the dividend discount model?

- A)** 9.6%.
 - B)** 10.2%.
 - C)** 13.7%.
-

Question #125 of 180

Question ID: 1417709

A 7.5% coupon, semiannual-pay, five-year bond has a yield to maturity of 6.80%. Over the next year, if the bond's yield to maturity remains unchanged, its price will:

- A) increase.
 - B) decrease.
 - C) remain unchanged.
-

Question #126 of 180

Question ID: 1417685

A securities market exhibits operational efficiency if it offers:

- A) low transaction costs.
 - B) prices that respond rapidly to new information.
 - C) rates of return that are proportional to risk on average.
-

Question #127 of 180

Question ID: 1417735

Co-investing is *most* accurately described as investing:

- A) as a limited partner in an investment fund, but only committing capital to one or more of the fund's portfolio companies.
 - B) directly in one or more of an investment fund's portfolio companies, instead of investing as a limited partner in the fund.
 - C) directly in one or more of an investment fund's portfolio companies, in addition to investing as a limited partner in the fund.
-

Question #128 of 180

Question ID: 1417725

Which of the following statements about plain vanilla interest rate swaps is *most accurate*? The swap counterparties:

- A) typically make a margin deposit with a clearinghouse.
- B) exchange fixed rate payments for variable rate payments.

C) exchange the notional principal at initiation and termination.

Question #129 of 180

Question ID: 1417684

An investor buys a stock for \$50. The initial margin requirement is 50%, and the maintenance margin requirement is 25%. The price below which the investor would receive a margin call would be:

- A) \$25.00.
 - B) \$33.33.
 - C) \$37.50.
-

Question #130 of 180

Question ID: 1417699

Pat McCoy, CFA, is analyzing a technology firm that has experienced annual earnings growth of 12%. McCoy does not expect the firm to begin paying dividends on its common shares in the foreseeable future. To estimate the value of this firm's common shares, McCoy should *most appropriately* use:

- A) a two-stage DDM.
 - B) a free cash flow model.
 - C) a Gordon growth model.
-

Question #131 of 180

Question ID: 1417721

The type of credit risk that is most directly reflected in a bond's rating is:

- A) default risk.
 - B) downgrade risk.
 - C) credit spread risk.
-

Question #132 of 180

Question ID: 1417717

Portfolio duration *most accurately* approximates the sensitivity of the value of a bond portfolio to:

- A)** parallel shifts in the yield curve.
 - B)** increases in the slope of the yield curve.
 - C)** decreases in the slope of the yield curve.
-

Question #133 of 180

Question ID: 1417742

A university endowment commits \$80 million to Lawson Private Capital Fund. Lawson charges a 1% management fee per year and incentive fees of 20% on all gains, and has an American-style waterfall structure with no clawback. Lawson draws down the endowment's capital to invest in the following portfolio companies:

Portfolio company	Investment	Cash received on exit
Adams	\$20 million in Year 1	\$30 million in Year 3
Borland	\$25 million in Year 2	\$45 million in Year 4
Chambers	\$30 million in Year 3	\$20 million in Year 5

At the end of Year 5, the investor's total gain after fees is closest to:

- A)** \$10 million.
 - B)** \$12 million.
 - C)** \$14 million.
-

Question #134 of 180

Question ID: 1417687

A stock index consists of two stocks. As of January 1:

- Company A has 50 shares outstanding valued at \$2 each.
- Company B has 10 shares outstanding valued at \$10 each.
- The price-weighted index is 6, and the value-weighted index is 100.

On June 30, the price of Company A's stock has increased to \$4 per share. Effective the morning of July 1, Company B's stock splits two- for-one and is priced at \$5. The opening values of the price-weighted index and the value-weighted index on July 1 are:

	<u>Price-weighted</u>	<u>Value-weighted</u>
A) 7		150
B) 7		125
C) 4.5		150

Question #135 of 180

Question ID: 1417691

The assertion that investors, analysts, and portfolio managers exhibit psychological tendencies that cause them to make systematic errors is *most* consistent with:

- A) behavioral finance.
 - B) weak-form market efficiency.
 - C) fundamental analysis.
-

Question #136 of 180

Question ID: 1417722

A firm is said to have a top-heavy capital structure if a high percentage of its total capital is:

- A) debt.
 - B) short-term debt.
 - C) secured bank debt.
-

Question #137 of 180

Question ID: 1417715

An 8%, semiannual pay, option-free corporate bond that is selling at par has ten years to maturity. What is the approximate modified duration of the bond based on a 75 basis point change (up or down) in rates?

- A) 5.6.
 - B) 6.8.
 - C) 7.2.
-

Question #138 of 180

Question ID: 1417727

The convenience yield associated with holding the underlying asset of a derivative is *most accurately* described as:

- A) the nonmonetary benefits of holding the asset.
 - B) the monetary and nonmonetary benefits of holding the asset.
 - C) the monetary and nonmonetary benefits of holding the asset, net of its holding costs.
-

Question #139 of 180

Question ID: 1417731

During the life of a European option, the amount by which its price is greater than its exercise value is *most accurately* described as its:

- A) time value.
 - B) moneyness.
 - C) intrinsic value.
-

Question #140 of 180

Question ID: 1417711

A bond with nine years to maturity is quoted at an interpolated spread of +150 basis points. The benchmark yield for this bond is:

- A) a swap rate.
 - B) a matrix rate.
 - C) a government bond yield.
-

Question #141 of 180

Question ID: 1417688

An investor purchases 1,000 shares of each of the stocks in a price-weighted index at their closing prices (ignore transactions costs). On a total return basis, if the index stocks remain the same, this portfolio will *most likely*:

- A) perform exactly like the index over time.
 - B) outperform the index over time.
 - C) underperform the index over time.
-

Question #142 of 180

Question ID: 1417701

Among valuation models, the difficulty of estimating a required rate of return is *most likely* to be a disadvantage of using:

- A) a Gordon growth model.
 - B) an asset-based valuation model.
 - C) an enterprise value multiplier model.
-

Question #143 of 180

Question ID: 1417693

An investor owns preference shares which stipulate that any dividend for the current period, as well as all past dividends, must be fully paid before a common stock dividend may be paid. This security is *best* described as:

- A) full-pay preferred.

- B)** restricted preferred.
 - C)** cumulative preferred.
-

Question #144 of 180

Question ID: 1417718

Consider two option-free, 5% annual-pay bonds from the same issuer and with the same seniority. One of the bonds has a modified duration of 3.5 and approximate convexity of 15. The other has a modified duration of 8.5 and approximate convexity of 75. Can the lower- duration bond have more price volatility than the higher- duration bond?

- A)** No, because it also exhibits lower convexity.
 - B)** Yes, because shifts in the yield curve may be non-parallel.
 - C)** No, because its price will respond relatively less in response to changes in yield.
-

Question #145 of 180

Question ID: 1417739

A leveraged buyout firm that carries out a secondary sale has:

- A)** offered additional shares to the public.
 - B)** exited an investment in a portfolio company.
 - C)** received new capital from its general or limited partners.
-

Question #146 of 180

Question ID: 1417732

Which of the following portfolios has the same future cash flows as a put option?

- A)** Long call option, long risk-free bond, short underlying asset.
 - B)** Long call option, short risk-free bond, long underlying asset.
 - C)** Short call option, long risk-free bond, long underlying asset.
-

Question #147 of 180

Question ID: 1417712

Compared to a recourse mortgage loan, a nonrecourse mortgage loan:

- A)** is likely to have a higher interest rate.
 - B)** is less likely to be purchased by a government agency.
 - C)** is issued with less strict standards for a borrower's credit history.
-

Question #148 of 180

Question ID: 1417714

A 10-year note issued by Gaullic Finance will be paid from a bankruptcy-remote pool of Gaullic's balance sheet assets. These notes are *best* described as:

- A)** covered bonds.
 - B)** securitized bonds.
 - C)** asset-backed bonds.
-

Question #149 of 180

Question ID: 1417740

Returns calculated from which type of real estate index are *most likely* to have the lowest standard deviation?

- A)** REIT index.
 - B)** Appraisal index.
 - C)** Repeat sales index.
-

Question #150 of 180

Question ID: 1417703

An analyst gathered the following data about a company:

- The historical earnings retention rate of 40% is projected to continue into the future.
- The sustainable ROE is 12%.
- The stock's beta is 1.2.
- The nominal risk-free rate is 6%.
- The expected market return is 11%.

If the analyst believes next year's earnings will be \$4 per share, what value should be placed on this stock?

- A)** \$22.24.
 - B)** \$33.32.
 - C)** \$45.45.
-

Question #151 of 180

Question ID: 1417694

The type of equity depository receipt that gives its owners the right to vote and receive dividends from a company's shares is *best* described as:

- A)** a global depository receipt.
 - B)** a sponsored depository receipt.
 - C)** a fully-owned depository receipt.
-

Question #152 of 180

Question ID: 1417706

Consider the following Treasury spot rates expressed as bond equivalent yields:

Maturity	Spot Rate
6 months	3.0%
1 year	3.5%
1.5 years	4.0%
2 years	4.5%

If a Treasury note with two years remaining to maturity has a 5% semiannual coupon and is priced at \$1,008, the note is:

- A) overpriced.
 - B) underpriced.
 - C) correctly priced.
-

Question #153 of 180

Question ID: 1417720

Which of the following is an advantage of a callable bond (compared to an identical option-free bond) to an investor?

- A) Less reinvestment risk.
 - B) Higher yield.
 - C) More convexity.
-

Question #154 of 180

Question ID: 1417730

A company is *most likely* to enter a plain vanilla interest rate swap as the fixed-rate payer if its balance sheet has predominantly:

- A) floating-rate assets, and management expects interest rates to increase.
 - B) fixed-rate liabilities, and management expects interest rates to decrease.
 - C) floating-rate liabilities, and management expects interest rates to increase.
-

Question #155 of 180

Question ID: 1417696

Ron Egan, CFA, classifies firms in the transportation industry in peer groups that include airlines and bus operators. Egan learns that one of the airlines, Acme, derives half its revenue from its Acme Bus Lines subsidiary. Egan adds Acme to his peer group for bus operators while continuing to include Acme in his peer group for airlines. Is Egan's treatment of Acme appropriate?

- A)** Yes.
 - B)** No, because each company should be included in only one peer group.
 - C)** No, because the bus operations are not the company's principal business activity.
-

Question #156 of 180

Question ID: 1417743

Which measure of return is *most* appropriate for investments with cash flows that may vary in their timing and amounts?

- A)** Multiple of invested capital.
 - B)** Time-weighted rate of return.
 - C)** Internal rate of return over the investment's life.
-

Question #157 of 180

Question ID: 1417707

The full price of a bond:

- A)** includes accrued interest.
 - B)** includes commissions and taxes.
 - C)** is also known as the "clean" price.
-

Question #158 of 180

Question ID: 1417704

Which of the following is a disadvantage to bondholders if a bond has a sinking fund provision?

- A) Lower credit quality.
 - B) Unfavorable tax status.
 - C) Greater reinvestment risk.
-

Question #159 of 180

Question ID: 1417723

A debt covenant designates one of a holding company's subsidiaries as restricted. Which of the following credit-related considerations does this covenant address?

- A) Credit migration risk.
 - B) Structural subordination.
 - C) Payments to equity holders.
-

Question #160 of 180

Question ID: 1417689

The type of equity index *most likely* to require rebalancing is:

- A) a price-weighted index.
 - B) an equal-weighted index.
 - C) a market-capitalization index.
-

Question #161 of 180

Question ID: 1417728

Which of the following is *most likely* to be an impediment to arbitrage?

- A) The law of one price.
 - B) Short-sale restrictions.
 - C) Investors' risk aversion.
-

Question #162 of 180

Question ID: 1417713

Consider a collateralized mortgage obligation (CMO) structure with one planned amortization class (PAC) class and one support tranche outstanding. If the prepayment speed is higher than the upper collar on the PAC:

- A)** the life of the PAC tranche will increase.
 - B)** the PAC tranche has no risk of prepayments.
 - C)** the life of the support tranche will decrease.
-

Question #163 of 180

Question ID: 1417695

The change in the intrinsic value of a firm's common stock resulting from an increase in ROE *most likely*:

- A)** increases the stock's intrinsic value.
 - B)** decreases the stock's intrinsic value.
 - C)** depends on the reason for the increase in ROE.
-

Question #164 of 180

Question ID: 1417692

Which of the following statements about short selling is *least accurate*?

- A)** A short seller is required to set up a margin account.
 - B)** A short sale involves securities the investor does not own.
 - C)** A short seller loses if the price of the stock sold short decreases.
-

Question #165 of 180

Question ID: 1417719

For a bond currently priced at \$1,018 with an effective duration of 7.48, if the market yield moved down 75 basis points, the new price would be approximately:

- A)** \$961.

B) \$1,075.

C) \$1,094.

Question #166 of 180

Question ID: 1417705

A public offering of bonds issued over a period of time is *most accurately* described as:

A) a serial structure.

B) a shelf registration.

C) a waterfall structure.

Question #167 of 180

Question ID: 1417733

The put-call-forward parity relationship is similar to the standard put-call parity relationship with a forward price substituted for:

A) the risk-free bond.

B) the underlying asset.

C) either the call or put option.

Question #168 of 180

Question ID: 1417738

A hedge fund uses derivative positions to take a long position in the Japanese yen and a short position in the euro. The classification of this hedge fund is *most likely*:

A) an event-driven fund.

B) a macro strategy fund.

C) a quantitative directional fund.

Question #169 of 180

Question ID: 1417690

Compared to an index of 100 U.S. exchange-traded stocks, an index of 100 U.S. government and corporate bonds will *most likely*:

- A) reflect equally timely price data.
 - B) be more difficult to build and maintain.
 - C) have less turnover among the securities in the index.
-

Question #170 of 180

Question ID: 1417710

The minimum data required to calculate the implied forward rate for three years beginning three years from now is:

- A) the 3-year and 6-year spot rates.
 - B) the 4-year, 5-year, and 6-year spot rates.
 - C) spot rates at 1-year intervals for the 6-year period.
-

Question #171 of 180

Question ID: 1417697

An industry in the growth phase of the industry life cycle is *most likely* to experience:

- A) increasing prices.
 - B) increasing profitability.
 - C) intense competition among competitors.
-

Question #172 of 180

Question ID: 1417736

Which of the following provisions is *least likely* to benefit the limited partners in a private equity fund?

- A) High hurdle rate.

- B)** Catch-up clause.
 - C)** Whole-of-fund waterfall structure.
-

Question #173 of 180

Question ID: 1417724

Over-the-counter derivatives are:

- A)** standardized and backed by a clearinghouse.
 - B)** not standardized but are backed by a clearinghouse.
 - C)** neither standardized nor backed by a clearinghouse.
-

Question #174 of 180

Question ID: 1417700

An analyst gathered the following data about a company:

- A historical earnings retention rate of 60% that is projected to continue into the future.
- A sustainable return on equity of 10%.
- A beta of 1.0.
- The nominal risk-free rate is 5%.
- The expected market return is 10%.

If next year's EPS is \$2 per share, what value should be estimated for this stock?

- A)** \$20.00.
 - B)** \$30.50.
 - C)** \$35.45.
-

Question #175 of 180

Question ID: 1417702

Acquire Corp. has a business model based on making accretive acquisitions each year. The company has historically been successful in implementing its strategy. Earnings per share have grown each of the last five years at a 15% compounded rate. Acquire's two primary business segments are engineering construction and mining. During the past year, Acquire purchased a services company with large net operating losses. The purchase price was one-half the company's current market value. The *most appropriate* technique to value Acquire is based on its:

- A) price-to-book value ratio.
 - B) forward price-to-earnings ratio.
 - C) trailing price-to-sales ratio.
-

Question #176 of 180

Question ID: 1417729

A 60-day forward rate agreement (FRA) on 60-day U.S. dollar LIBOR has a fixed rate of 6%. If, at the initiation of the contract, 60-day LIBOR is 5%, the payment in 60 days:

- A) is unknown.
 - B) will be received by the long position.
 - C) will be received by the short position.
-

Question #177 of 180

Question ID: 1417737

A characteristic of alternative investments that distinguishes them from traditional investments is that:

- A) redemptions are more restricted.
 - B) they are subject to stricter regulations.
 - C) managers hold more diversified portfolios.
-

Question #178 of 180

Question ID: 1417716

A 3-year, 6% coupon, semiannual-pay note has a yield to maturity of 5.5%. If an investor holds this note to maturity and earns a 4.5% return on reinvested coupon income, his realized yield on the note is *closest* to:

- A)** 5.46%.
 - B)** 5.57%.
 - C)** 5.68%.
-

Question #179 of 180

Question ID: 1417741

Public-private partnerships are *most likely* to be a vehicle for investing in:

- A)** tangible collectibles.
 - B)** distressed securities.
 - C)** greenfield infrastructure.
-

Question #180 of 180

Question ID: 1417686

Liquidity is generally supplied by dealers in:

- A)** a brokered market.
- B)** an order-driven market.
- C)** a quote-driven market.